A related but more plausible explanation for the steady increase in dollarized debt is that countries are forced into this position because their monetary policies lack credibility. If a country issued debt in domestic currency, the argument goes, it would have an incentive to inflate its way out of debt and would be viewed as likely to succumb to that temptation even though its policies have recently been on the straight and narrow. But with dollarized debt, the country wouldn't have this incentive, and so investors would be more willing to lend to it.

What is the clever solution? Some suggest that the World Bank or IMF issue bonds in the country's domestic currency and then lend the proceeds to the country with repayment also denominated in the domestic currency. These international financial institutions (IFI) are presumably more sensible than market investors and aren't fazed by original sin or misleading reputations. They can also serve as guarantors that the country will not inflate its way out of trouble, giving investors reasons to hold domestic currency debt that they have issued (alternatively, the IFIs can issue debt indexed to inflation). Such proposals have been floated in a number of forms with varying degrees of sophistication and varying objectives. Some of the most reasonable are those by Barry Eichengreen and Ricardo Hausmann ('How to eliminate original financial sin', *Financial Times*, 22 November 2002) and by Eduardo Levy Yeyati ('Financial de-dollarization and the role of IFIs: De-dollarizing multilateral credit', mimeo, Universidad Torcuato Di Tella).

Would the clever solution work? The key question is whether the phenomenon of dollarization is driven purely by bad reputations from the past. History suggests that countries have graduated from issuing foreign currency debt to issuing debt denominated in domestic currency, and they have typically done so by fixing fundamental